

SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: DO NOT BUY (HOLD) / DO NOT BUY (FLIP) | INVESTMENT SCORE: 15/100

PROPERTY & VALUATION SNAPSHOT

Property Details	Data
Property Type	3-Family Residential
Beds	6
Baths	3
Year Built	1919

Valuation Metric	Estimated Value
Asking Price	$730,000
Recommended MAO	$250,000
Est. FMV	$349,200 - $370,800
Est. ARV	$745,000
Est. Renovation Budget	$270,000

EXECUTIVE SUMMARY

385 Washington Street is a 1919-built, 3-unit multi-family asset generating an As-Is Gross Rent of $64,800. At the current asking price, the property suffers from severe negative leverage, resulting in a monthly cash bleed of ($718) and a dangerous As-Is DSCR of 0.78. Even after deploying the $270,000 renovation budget to cure environmental and structural obsolescence, the Stabilized Monthly Cash Flow only reaches $707 with a 1.22 DSCR. With an After Repair Value of $745,000, proceeding at the current pricing will result in catastrophic capital destruction for both buy-and-hold and fix-and-flip strategies.

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FINANCIAL SYNTHESIS & STRATEGY COMPARISON

The financial underwriting for 385 Washington Street reveals a catastrophic valuation disconnect. At the current asking price of $730,000, the asset is priced at its absolute ceiling, leaving zero equity margin to absorb the mandatory $270,000 renovation budget required to cure 1919-era obsolescence. Operating the property 'As-Is' yields a deeply negative Cash-on-Cash return of (4.07%) and a DSCR of 0.78, meaning the asset cannot cover its own debt service. Even after deploying heavy capital expenditures to stabilize rents at $2,800 per unit, the yield constraints remain severe. The stabilized Cash-on-Cash return barely reaches 1.76%, and the forced appreciation for a fix-and-flip strategy is a staggering ($255,000). This indicates that an investor would be severely overpaying for the asset relative to its income potential and After Repair Value (ARV), resulting in massive capital destruction.

STRATEGY A: BUY & HOLD (LONG-TERM)

UNDERWRITING ASSUMPTIONS

Underwriting Assumption	Value
Purchase Price	$730,000
Down Payment %	25%
Interest Rate	6.00%
Amortization Period	30 Years
Expense Ratio	50%

OPERATING PRO-FORMA

Line Item	Current (As-Is)	Stabilized
Gross Rent	$64,800	$100,800
Vacancy Loss	$3,240	$5,040
EGI	$61,560	$95,760
Operating Expenses	$30,780	$47,880
NOI	$30,780	$47,880
Debt Service	$39,390	$39,390
Monthly Cash Flow	($718)	$707

YIELD & RETURN METRICS

Metric	Current (As-Is)	Stabilized
Cap Rate	4.22%	4.79%
Cash-on-Cash Return	(4.07%)	1.76%
DSCR	0.78	1.22

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STRATEGY B: FIX & FLIP (SHORT-TERM)

HARD MONEY TERMS

Hard Money Loan Structure	Value
Loan Amount	$927,000
Total Points	$18,540
Total Interest (6 mos)	$50,985

CAPITAL REQUIREMENTS

Capital & Exit Costs	Value
Holding Costs	$11,168
Exit Costs	$59,600
Acquisition/Closing Costs	$29,200
Acquisition Fee	$2,500
Total Deal Cost	$1,171,993

PROJECTED RETURNS

Projected Flip Margin	Value
Projected ARV	$745,000
Net Profit	($426,993)
Cash-on-Cash Return	(174.29%)
Forced Appreciation	($255,000)

FIX & FLIP SENSITIVITY MATRIX

Scenario	Purchase Price	Rehab Cost	ARV	Net Profit	CoC Return
Worst Case	$766,500	$297,000	$670,500	($565,164)	(227.14%)
Base Case	$730,000	$270,000	$745,000	($426,993)	(174.29%)
Best Case	$693,500	$243,000	$819,500	($288,822)	(119.76%)

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RENOVATION & CAPEX ANALYSIS

The property requires a massive $270,000 unified renovation budget for a full cosmetic and structural gut. Visual evidence confirms heavily dated interiors: pervasive acoustic drop ceilings hiding potential electrical/plumbing overhead, peeling VCT/linoleum flooring posing high asbestos risks, hollow-core doors, and highly uneven walls painted in harsh colors requiring extensive skim-coating or new drywall. The current kitchen layouts are highly disjointed (e.g., freestanding gas stoves completely separated from poorly installed builder-grade sinks with cheap faux-tin backsplashes) and require complete reconfiguration, new continuous cabinetry, and updated plumbing lines. Additionally, heavy capex is needed to sandblast and repaint the existing cast-iron radiators, upgrade surface-mounted lighting to recessed fixtures, and address the faded exterior vinyl siding and rusty chain-link fence to improve curb appeal.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Demolition (Drop Ceilings, Floors, Kitchens), Env. & Permitting	$20,000	High
Exterior & Roof (Siding Wash/Replace, Fencing)	$20,000	Medium
Interior Finishes (Drywall Skimming, Flooring, Reconfiguration)	$110,000	High
Mechanicals (HVAC, Recessed Lighting, Plumbing Runs)	$75,000	High
Contingency (20% Hidden Defect Buffer)	$45,000	High

ESTIMATED CONSTRUCTION TIMELINE

Phase	Description	Est. Duration
Phase 1	Architectural Plans, Permitting & Zoning Review	4 Weeks
Phase 2	Demolition (Drop Ceilings, VCT) & Environmental Remediation	3 Weeks
Phase 3	Rough Framing, Plumbing, Electrical & HVAC	4 Weeks
Phase 4	Municipal Rough Inspections & Insulation	2 Weeks
Phase 5	Drywall Installation, Tape & Heavy Skim-Coating	3 Weeks
Phase 6	Interior Finishes (LVP Floors, Doors, Trim, Paint)	4 Weeks
Phase 7	Kitchen Reconfiguration & Bathroom Installation	3 Weeks
Phase 8	Exterior Updates, Roof Repairs & Final Punchlist	2 Weeks
Phase 9	Final Inspections & Certificate of Occupancy	2 Weeks

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MARKET & ZONING INTELLIGENCE

Situated in a dense, highly walkable urban-suburban grid, the property benefits from exceptional proximity to major economic anchors, notably the HMH Raritan Bay Medical Center and the Raritan Bay Area YMCA. This creates a built-in, high-retention tenant pool of healthcare professionals and NYC commuters utilizing the nearby 116 bus line and Perth Amboy NJ Transit Station. However, these strong locational fundamentals are severely undercut by the property's micro-lot dimensions (1,999 sqft) and zero dedicated parking spaces, creating a logistical bottleneck for a high-density 6-bedroom asset. Furthermore, the property's C-1 (Commercial) zoning status means its current use as a 3-family residential dwelling is legally non-conforming, introducing significant municipal hurdles and rebuild risks.

ENVIRONMENTAL & LOCATIONAL FACTORS

Environmental Factor	Status / Impact
Nearest Transit	0.5 Miles (Perth Amboy Station)
Crime Rate Status	21.16 per 1,000 (Moderate)
Flood Zone	Zone X (Minimal Hazard)
Wetlands	None Present
Contamination	Pre-1978 Lead/Asbestos Risk (High)

UNIT MIX & PROJECTED RENT ROLL

Unit Type	Count	Current Avg Rent	Pro-Forma Rent
Unit 1 (Layout Unverified)	1	$1,800	$2,800
Unit 2 (Layout Unverified)	1	$1,800	$2,800
Unit 3 (Layout Unverified)	1	$1,800	$2,800

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TAX ASSESSMENT & APPEAL STRATEGY

The property is currently eligible for a Chapter 123 tax appeal, as its As-Is Subject Ratio of 83.36% exceeds the municipality's Upper Limit. Successfully appealing the current $300,100 assessment down to the True Market Value of $360,000 would yield an estimated temporary annual tax savings of $2,363. However, investors must heed a critical strategic warning: New Jersey municipalities are legally required to issue an Added Assessment when building permits are pulled for major improvements. Executing the mandatory $270,000 renovation will trigger a reassessment based on the $745,000 ARV, propelling the stabilized annual tax burden to a projected $13,809. Underwriting long-term expenses based on the current or appealed tax bill will result in severe cash flow deficits.

CHAPTER 123 TAX METRICS

Tax Assessment Metric	Value
Current Assessment	$300,100
Implied Market Value	$487,492
True Market Value	$360,000
Director Ratio	61.56%
Upper Limit	70.79%
Lower Limit	52.33%
Est. Tax Savings	$2,363
Projected Stabilized Taxes	$13,809

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IDENTIFIED CRITICAL RISKS

- Catastrophic Overpricing: The $730,000 asking price leaves zero equity margin for the required $270,000 renovation, resulting in a deeply negative forced appreciation.

- Zoning & Land Use: The property operates as a legally non-conforming 3-family dwelling in a C-1 Commercial zone, posing severe rebuild risks in the event of a fire.

- Hidden & Environmental Hazards: The pervasive use of drop ceilings and peeling VCT tile highly suggests hidden structural/electrical issues overhead, and guarantees expensive pre-1978 lead and asbestos abatement.

- Logistical Bottlenecks: The 1,999 sqft micro-lot offers zero dedicated parking spaces for a 6-bedroom, 3-unit building, capping top-tier rental potential.

MITIGATION STRATEGIES

- Aggressive Price Negotiation: Do not acquire the asset unless the purchase price can be negotiated down to the $250,000 - $280,000 range to absorb the heavy capex.

- Zoning Verification: Consult the Perth Amboy zoning officer to secure written confirmation of the right to rebuild the triplex in the event of over 50% destruction.

- Environmental Contingency: Maintain a strict 20% $45,000 contingency budget specifically earmarked for lead, asbestos, and hidden issues revealed once drop ceilings are removed.

- Targeted Tenant Marketing: Market the units specifically to HMH Raritan Bay Medical Center staff and NYC commuters who do not rely on personal vehicles.

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DUE DILIGENCE: VERIFICATION MATRIX

The following matrix highlights critical structural, zoning, or environmental discrepancies between municipal public records and the marketed property details.

Data Point	Public Record	Listing Claim	Risk Level
Zoning vs. Current Use	C-1 (Commercial)	3-Family Residential	HIGH
Environmental (Age)	1919	1919	MODERATE/HIGH
Unit Count	Class 2 (1-4 Family)	3 Units	LOW
Parking Availability	N/A	0 Spaces	MODERATE
Building Material	3SF (Wood Frame)	Century-old vintage	MODERATE

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SALES COMPARABLES (RECENT CLOSINGS)

Address	Sale Price	SqFt	Beds	Baths	Sale Date
397-399 Washington St	$720,000	2340	8	4	12/10/2025
228 2nd St	$710,000	2440	6	4	04/22/2026
361 Neville St	$750,000	2782	8	4	12/29/2025
448 Baker Pl	$735,000	2312	6	3	12/19/2025
287 Washington St	$575,000	2408	4	2	11/14/2025

RENTAL MARKET TRENDS

Rental Trend Metric	Value
Median Rent	$2,500
Available Rentals	76
Market Temp	COOL
Yearly Change	+$345

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